



PANKAJ RAO

THE GROSS INCOME OF OUR FARMERS HAS INCREASED BY 40 PER CENT OVER THE LAST FIVE YEARS. THIS IS DUE TO AN INCREASE IN PRICES AS WELL AS THE YIELD.

VINEET CHHABRA , CEO, Global Green Company

Company **GLOBAL GREEN**

Cultivating
**GHERKINS, JALAPENOS
AND TOMATOES**

Land aggregated
500 acres

Investment
Rs 4 CRORE

Foods to grow fruits and vegetables for overseas markets. However, its very first export to the Middle East in 2005 was a disaster: thanks to an underdeveloped cold chain, much of the produce rotted. It also tried a collaborative farming model which failed. That's when it got into contract farming, where "you let the farmer do what he does best—grow", says Rakesh Mittal, vice-chairman of Bharti Enterprises. Today the company has aggregated 2,500 acres of land in Punjab and Maharashtra and is working with 800 farmers to export fresh baby corn (it is the largest exporter from India) and sweet corn, even as it sells tomatoes, okra, capsicum, eggplant, seedless Thomson grapes, bananas, mangoes, apples and oranges domestically. "The domestic market is far more tolerant," says Mittal, "so the opportunity to deliver to local consumers is far more and will slowly help develop the export market." Even Jain Irrigation has limited its focus to value-added goods. It is the world's third largest supplier of dehydrated onions (used in pastes, powders, etc), and also sells green bell peppers, leeks and okra, but all processed. "It has much more value and a longer shelf life," says Sunil Deshpande, business unit chief, foods, at the company.

Wastage is high. Over Rs 50,000 crore worth of produce is lost annually due to gaps in the supply chain—cold chain, warehousing, processing centres and logistics. Over 20 per cent of the produce is wasted between harvest and consumption, while inadequate cold storage affects the quality of the remaining 80 per cent, says YES

Bank. Some retailers have also dabbled in aggregation themselves. Perhaps the only company to have not done so is the Future Group. "Almost all our fresh fruits and vegetables are sourced from mandis wherein we collaborate with the existing distribution network in the country and help them improve their efficiency, rather than replace them by our network," says Anshuman Singh, CEO of Future Logistics. Puri agrees, "The reach and distribution capability of the unorganised food and vegetables sector is formidable and will continue to give a bloody nose to organised retail for a long time to come."

But patience is required. Four years ago,

Mahindra Shubhlabh contracted 72,000 acres of land in Punjab for producing basmati rice, durum wheat, sunflower and barley. Today, the company is working with only 4,000 acres, contracting seed potato in Punjab and grapes in Maharashtra. According to Puri, the most difficult task is to find a market that could pay a premium for higher quality produce with superior packaging. Mahindra Shubhlabh took nine years to make operational profits while Jain Irrigation took 10 years to break even.

If the 2000s was the era of contract farming, the next decade could well be that of corporate farming. Here companies can own or lease large tracts of land for a long term. The only catch is that it could play out in another geography, feels Kalyan Chakravarthy, country head, Food and Agri Strategic Advisory Research, YES Bank. "Having burnt their fingers, companies now want control of the land. Vertical integration will happen," he says. Africa is a hot destination. Five years ago, Ramakrishna Karuturi, managing director, Karuturi Global, entered Ethiopia for his rose business. Now, he is in Kenya to export palm oil to India and China, and vegetables like french beans, sugar schnapps and ladies' fingers for Europe. He has leased around 3,40,000 hectares in the continent for 45 years.

It is likely that companies will try different approaches to farming. Success, however, will also depend on how states rework their policies to encourage more investment. The future may well be greener for Indian agriculture. ■